

Bihar 2019
Grade 12
ECONOMICS

Series: 219

SET - D

Time allowed: 3 hours 15 minutes

Total Marks: 100

Instructions for the candidates:

- (i) Candidates are required to give their answers in their own words as far as practicable.
- (ii) Figures in the right hand margin indicate full marks.
- (iii) 15 minutes of extra time has been allotted for the candidates to read the questions carefully.
- (iv) This question paper is divided into two sections – Section – A and Section – B.
- (v) In Section – A, there are 50 objective type questions which are compulsory, each carrying 1 mark. Darken the circle with blue/black ball pen against the correct option on OMR Answer Sheet provided to you. Do not use Whitener/Liquid/Blade/Nail etc. on OMR Sheet; otherwise the result will be invalid.
- (vi) In Section – B, there are 25 short answer type questions (each carrying 2 marks), out of which any 15 questions are to be answered. Apart from this, there are 8 Long Answer Type questions (Each Carrying 5 marks). Out of which any 4 questions to be answered.
- (vii) Use of any electronic appliances is strictly prohibited.

SECTION – A

Objective Type Questions

Question No. 1 to 50 have four options, out of which only one is correct. You have to mark, your selected option, on the OMR – Sheet.

[50 x 1=50]

1. In which market product differentiation is found?
 - (A) Pure competition
 - (B) Perfect competition
 - (C) Monopoly
 - (D) Monopolistic competition

2. Who basically propounded the concept of law of Equimarginal utility?
 - (A) Marshall
 - (B) Gossen
 - (C) Ricardo
 - (D) Mill

3. At which time all the factors of production may be changed?
 - (A) Short run
 - (B) Long run
 - (C) Very long run

(D) All the three

4. Market price is associated with -

- (A) Price for very short period
- (B) Normal Price
- (C) Permanent Price
- (D) All of the above

5. Which is the determining factor for investment?

- (A) Marginal Efficiency of capital
- (B) Interest Rate
- (C) Both (A) and (B)
- (D) All of these

6. A curve which rises first and starts declining after that is called?

- (A) APP
- (B) MPP
- (C) TPP
- (D) All of these

7. Keynesian multiplier establishes relationship between -

- (A) Investment and Income
- (B) Income and consumption
- (C) Saving and Investment

(D) None of the above

8. Deposits accepted by the commercial banks -

(A) Current Deposits

(B) Saving Deposits

(C) Time Deposits

(D) All of the above

9. Which is a reason of change in demand?

(A) Change in Consumer's Income

(B) Change in prices of Related Goods

(C) Population increase

(D) All of the above

10. Which one is included in Secondary Sector?

(A) Insurance

(B) Manufacturing

(C) Trade

(D) Banking

11. In which type of goods, price fall does not make any increase in demand?

(A) Necessity Goods

(B) Comfort Goods

- (C) Luxury Goods
- (D) None of the above

12. To which factor, economic problem is basically related to -

- (A) Choice
- (B) Consumer's selection
- (C) Firm selection
- (D) None of the above

13. With increase in output, the difference between total cost and total variable cost -

- (A) Decrease
- (B) Increase
- (C) Remains constant
- (D) None of the above

14. Which of the following is included in money cost?

- (A) Normal profit
- (B) Explicit cost
- (C) Implicit cost
- (D) All of the above

15. Which one is included in National Income?

- (A) Rent, Wage, Interest
- (B) Rent, Wage, Salary

(C) Rent, Profit, Interest

(D) Rent, Wage, Salary, Interest, Profit

16. The price of a good is determined by -

(A) Demand

(B) Supply

(C) Both demand and supply

(D) Government

17. Which of the following is an Indirect Tax?

(A) Excise Duty

(B) Sales Tax

(C) Custom Duty

(D) All of the above

18. In which market $AR=MR$?

(A) Monopoly

(B) Monopolistic competition

(C) Both (A) and (B)

(D) Perfect competition

19. Banking Ombudsman scheme was announced in the year-

(A) 1990

(B) 1995

(C) 1997

(D) 2000

20. Change in quantity of production has effects on -

(A) Both Fixed and Variable cost

(B) Only Variable Cost

(C) Only Fixed Cost

(D) None of the above

21. What does a monopolist market show?

(A) Production process

(B) Distribution system

(C) Nature of Market

(D) None of these

22. Which of the following function shows the law of supply?

(A) $S = f(P)$

(B) $S = f\left(\frac{1}{p}\right)$

(C) $S = f(Q)$

(D) None of the above

23. Which one is the item of Current Account?

(A) Import of Visible Items

- (B) Expenses of Tourists
- (C) Export of Visible Items
- (D) All of the above

24. Direct tax is –

- (A) Income Tax
- (B) Gift Tax
- (C) Both (A) and (B)
- (D) None of these

25. What are the advantages of Barter System?

- (A) Simple system
- (B) More mutual co-operation
- (C) No Economic Disparities
- (D) All of the above

26. The full form of ATM is -

- (A) Any time money
- (B) All time money
- (C) Automated teller machine
- (D) Both A and B

27. The propounder of law of diminishing marginal utility is -

- (A) Gossen

- (B) Adam Smith
- (C) Chapman
- (D) Hicks

28. Which is the major objective of credit control?

- (A) To maintain price stability
- (B) To stabilize exchange rate
- (C) To promote production and employment
- (D) All of the above

29. The reason of decrease in supply is -

- (A) Increase in production cost
- (B) Increase in price of substitute
- (C) Fall in number of firms in the industry
- (D) All of the above

30. In perfect competition which of the following remains constant?

- (A) AR
- (B) MR
- (C) Both AR and MR
- (D) None of the above

31. Which type of currency is issued by Central Bank?

- (A) Currency notes

- (B) Credit money
- (C) Coins
- (D) All of the above

32. Depreciation expenses are included in -

- (A) GNP_{MP}
- (B) NNP_{MP}
- (C) NNP_{FC}
- (D) None of the above

33. Macro Economics studies -

- (A) Employment opportunities in economy
- (B) Consumption theory
- (C) Elasticity of demand in scooter
- (D) Price of wheat in market

34. Which one of the following is included in 'Stock'?

- (A) Quantity of money
- (B) Wealth
- (C) Quantity of wheat stored in warehouse
- (D) All of the above

35. In Keynesian Economics, the state of deficit demand is called as -

- (A) Full employment equilibrium
- (B) Non full employment equilibrium
- (C) Both (A) and (B)
- (D) None of the above

36. Which sector is included in an economy?

- (A) Primary
- (B) Secondary
- (C) Tertiary
- (D) All of the above

37. In the situation of deflationary gap-

- (A) Demand increases rapidly
- (B) Supply increases rapidly
- (C) Both demand and Supply are equal
- (D) None of the above

38. Which monetary measures may be adopted to correct deficient demand?

- (A) Reduction in Bank Rate
- (B) Buying securities in open market
- (C) Reducing Cash Reserve Ratio
- (D) All of the above

39. Which one is the item of Capital Account?

- (A) Government Transactions
- (B) Private Transactions
- (C) Foreign Direct Investment
- (D) All of the above

40. How many types elasticity of demand has?

- (A) Three
- (B) Five
- (C) Six
- (D) Seven

41. Which of the following is studied under Macro Economics?

- (A) National Income
- (B) Full Employment
- (C) Total Production
- (D) All the above

42. Which is the correct order of money evolution?

- (A) Commodity money, Paper money, Metal money
- (B) Commodity money, Metal money, Paper money, Credit money
- (C) Credit money, Metal money, Paper money
- (D) None of the above

43. Law of variable problem is related to -
- (A) Both Short run and Long run
 - (B) Long run
 - (C) Short run
 - (D) Very long run
44. Which type of expenditure is made in bridge construction?
- (A) Capital Expenditure
 - (B) Revenue Expenditure
 - (C) Both (A) and (B)
 - (D) None of the above
45. Which one is the invisible item of Balance of Payments?
- (A) Banking
 - (B) Shipping
 - (C) Communication
 - (D) All of the above
46. Price of a good is determined at a point where -
- (A) Demand $>$ Supply
 - (B) Demand $<$ Supply
 - (C) Demand = Supply
 - (D) None of the above

47. Which one of the following is true for monopoly?

- (A) Firm is price maker
- (B) Demand curve slopes downwards
- (C) Price discrimination possibility arises
- (D) All of the above

48. Balance of Trade means -

- (A) Capital Transaction
- (B) Import and Export of goods
- (C) Total Debit and Credit
- (D) All of the above

49. Which is component of Budget Receipt?

- (A) Revenue Receipt
- (B) Capital Receipt
- (C) Both (A) and (B)
- (D) None of the above

50. Which one is true?

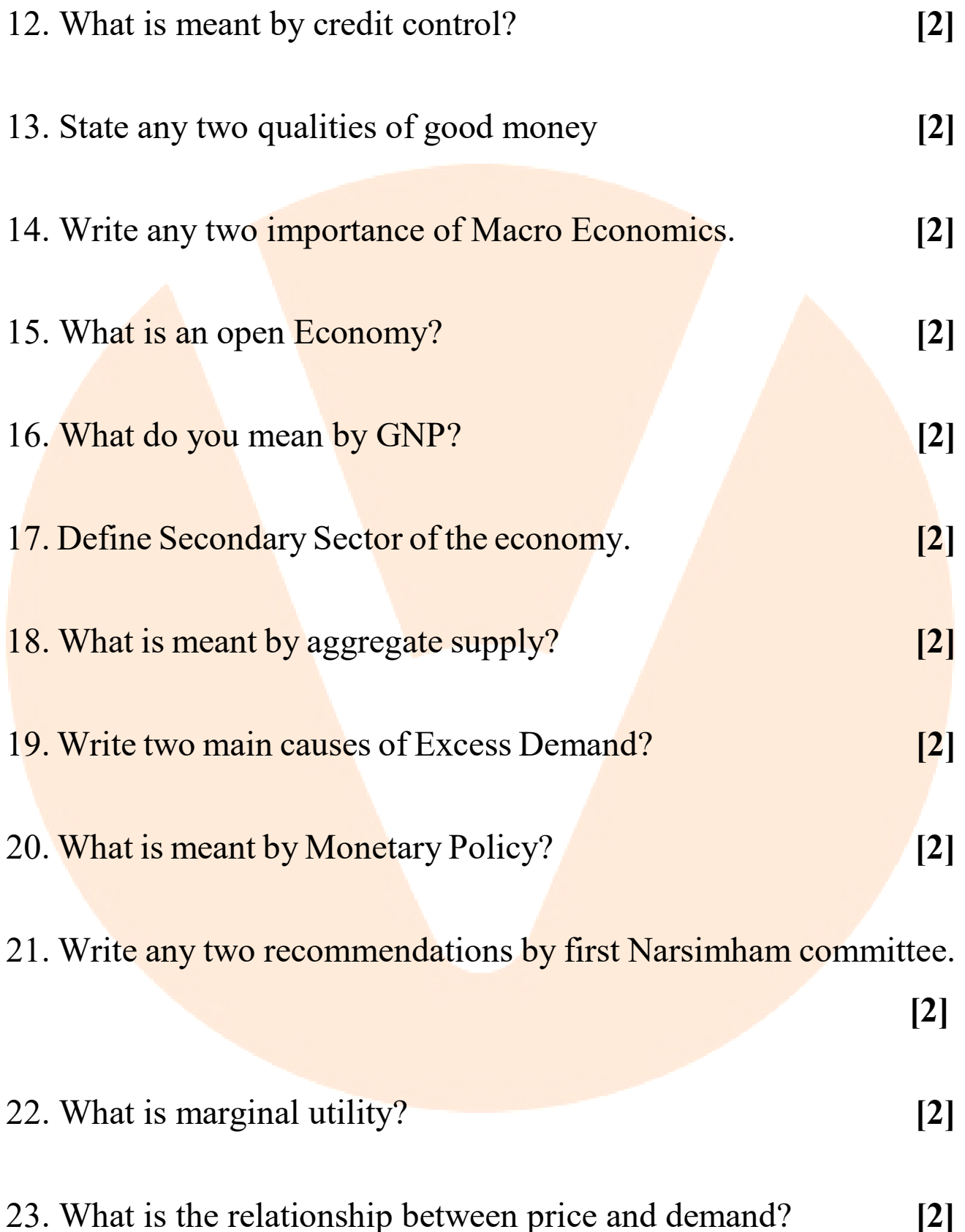
- (A) $MPC + MPS = 0$
- (B) $MPC + MPS < 1$
- (C) $MPC + MPS = 1$
- (D) $MPC + MPS > 1$

SECTION – B

Non-Objective Type Questions

Short Answer Type Questions

1. Write any two problems of an Economy. [2]
2. Mention any two factors that affect price of elasticity of demand. [2]
3. What is the meaning of budget line? [2]
4. Give two examples of variable cost. [2]
5. Mention any two factors which affect the supply of a commodity. [2]
6. What are the two main features of monopoly? [2]
7. Who determines price under perfect competition? [2]
8. How is price affected by increase in Demand? [2]
9. What is rent? [2]
10. Which who transactions determine Balance of Trade? [2]
11. Give two examples of Direct Tax. [2]

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12. What is meant by credit control? [2]
13. State any two qualities of good money [2]
14. Write any two importance of Macro Economics. [2]
15. What is an open Economy? [2]
16. What do you mean by GNP? [2]
17. Define Secondary Sector of the economy. [2]
18. What is meant by aggregate supply? [2]
19. Write two main causes of Excess Demand? [2]
20. What is meant by Monetary Policy? [2]
21. Write any two recommendations by first Narsimham committee. [2]
22. What is marginal utility? [2]
23. What is the relationship between price and demand? [2]

24. State the law of supply. [2]

25. What is meant by Fixed Cost? [2]

Long Answer Type Questions

Question Nos. 26 to 33 are long answer type questions. Each question carries 5 marks. Answer any 4 questions. [4 x 5 = 20]

26. Explain the characteristics of Indifference curve. [5]

27. What are the exceptions of Law of Demand? [5]

28. Explain the law of Diminishing Return. [5]

29. Explain the meaning of average cost. In Short-run, why is the cost curve U shaped? Discuss. [5]

30. Explain the Income method for calculating National Income. [5]

31. Explain the concept of Domestic Product. Distinguish between Gross Domestic Product and Gross National Product. [5]

32. How employment is determined by savings and investment? [5]

33. What do you mean by inflation? Does it affect price and output? Give reason. [5]